COVER SHEET

	3	5	8	4	1

SEC Registration Number

FILSYN CORPORATION AND
SUBSIDIARIES

(Company's Full Name)

UNIT 8 5B PEARLBANK CENTRE
146 VALERO ST. MAKATI CITY

(Business Address: No. Street City/Town/Province)

Mr. Apolinario L. Posio
Contact Person

(+632) 8652-5167
Company Telephone Number

SEC FORM 17-Q
September 30, 2025

12 Month **31** Day
Fiscal Year

Month Day
Annual Meeting

Not Applicable
Secondary License Type, if Applicable

Dept. Requiring this Doc.

Not Applicable
Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

Remarks = please Use Black Ink for scanning purposes

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17 -Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SRC AND SRC RULE 17 (2) (B) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission identification number 35841
3. BIR Tax Identification No. 000-158-664-000
4. Exact name of registrant as specified in its charter FILSYN CORPORATION
5. Province, country or other jurisdiction of incorporation or organization Makati City, Philippines
6. Industry Classification Code (SEC Use Only)
7. Address of registrant's principal office Unit 8 5B Pearlbank Centre 146 Valero St., Salcedo Village, Makati City 1227
8. Registrant's telephone number, including area code (+632) 8652-5167
9. Securities registered pursuant to Sections 8 and 12 of the SRC

Title of each Class	Number of shares stock outstanding
Class A Common	123,747,707 shares fully paid
Class B Common	49,071,976 shares fully paid
Preferred	33,426,498 shares fully paid

10. Securities listed in the PSE 172,819,683 shares

FINANCIAL INFORMATION

Please see attached Financial and Management Reports.

FILSYN CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(IN P000)

		(Unaudited) September 30, 2025		Audited December 31 2024
ASSETS				
Current Assets				
Cash and cash equivalents	P	**283,144**	P	42,363
Trade receivables		**88,529**		56,938
Inventories		**51,661**		50,753
Prepayments and other current assets – net		**53,687**		13,934
Current financial asset		–		20,000
Total Current Assets		**477,021**		183,989
Noncurrent Assets		–		–
Investment properties - at deemed cost		**918,167**		918,167
Property and equipment, net		**793,098**		822,789
Construction in Progress		**57,924**		–
Retirement plan assets		**24,180**		24,180
Noncurrent Financial Asset		**20,000**		–
Investment in associates		–		1
Other noncurrent assets		**8,617**		25,615
Total Noncurrent Assets		**1,821,986**		1,790,752
TOTAL ASSETS	P	**2,299,007**	P	1,974,741
LIABILITIES AND EQUITY				
Current Liabilities				
Accounts and other payables	P	**228,419**	P	124,123
Loans payable		**173,295**		68,242
Current portion of long-term debt		**17,445**		173,535
Due to related party		–		–
Dividends payable		**156**		156
Income tax payable		–		162
Total Current Liabilities		**419,315**		366,218
Noncurrent Liability				
Deferred tax liabilities		**118,056**		118,775
Noncurrent portion of long-term debt		**624,362**		621,098
Total Noncurrent Liabilities		**742,418**		793,837
Total Liabilities		**1,161,733**		1,106,091
Equity Attributable to Equity Holders of the Parent				
Capital stock				
Preferred Stock		**280,448**		280,448
Common Stock		**86,410**		86,410
Additional paid-in capital		**335,373**		335,373
Remeasurement loss on retirement plan assets – net		**(4,732)**		(4,732)
Cumulative translation adjustment		**172,874**		(51,304)
Retained Earnings (Deficit)		**21,111**		(21,881)
		891,484		624,314
Deposit for future stock subscription		**261,671**		260,303
Non-controlling Interests		**(15,881)**		(15,967)
Total Equity		**1,137,274**		868,649
TOTAL LIABILITIES AND EQUITY	P	**2,299,007**	P	1,974,741

FILSYN CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED SEPTEMBER 30, 2025 AND 2024

(P000)

		2025 (Unaudited)			2024 (Unaudited)	
		This Quarter	Year-to-Date		This Quarter	Year-to-Date
REVENUES	**P**	**297,985**	**784,596**	**P**	**155,882**	**484,107**
COST AND EXPENSES:						
OPERATING EXPENSES		**259,982**	**701,157**		**127,825**	**412,806**
FINANCIAL CHARGES - Net		**5,629**	**17,557**		**10,170**	**31,983**
		265,611	**718,714**		**138,045**	**444,789**
NET INCOME (LOSS)	**P**	**32,376**	**65,883**	**P**	**15,961**	**37,442**
NET INCOME (LOSS) ATTRIBUTABLE TO PARENT EQUITY HOLDER	**P**	**32,486**	**65,969**	**P**	**15,946**	**37,402**
TOTAL NUMBER OF COMMON SHARES ISSUED & OUTSTANDING		**172,820**	**172,820**		**172,820**	**172,820**
INCOME (LOSS) PER SHARE	**P**	**0.18798**	**0.38172**	**P**	**0.09236**	**0.21665**

FILSYN CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE PERIOD ENDED SEPTEMBER 30, 2025 and 2024

(P000)

				2025 (Unaudited)		2024 (Unaudited)
CAPITAL STOCK						
Preferred (P8.39 par value)						
Authorized	-	**33,426,498 shares**				
Issued[1]	-	**33,426,498 shares**	**P**	**280,448**	**P**	**280,448**
Class A Common (P0.50 par value)						
Authorized	-	**440,229,812 shares**				
Issued	-	**123,747,707 shares**		**61,874**		**61,874**
Class B Common (P0.50 par value)						
Authorized	-	**293,486,507 shares**				
Issued[1]	-	**49,071,976 shares**		**24,536**		**24,536**
				366,858		**366,858**
ADDITIONAL PAID-IN CAPITAL (APIC)				**335,373**		**335,373**
Remeasurement loss on retirement plan asset				**(4,732)**		**(6,050)**
Cumulative translation adjustment				**172,874**		**(45,731)**
RETAINED EARNINGS (DEFICIT)						
Balance, beginning				**(21,881)**		**(69,619)**
Net income loss for the period – attributable to parent				**42,992**		**37,402**
				21,111		**(32,217)**
Deposit for future stock subscription				**261,671**		**–**
NON-CONTROLLING INTEREST				**(15,881)**		**(16,143)**
TOTAL EQUITY (CAPITAL DEFICIENCY)			**P**	**1,137,274**	**P**	**602,090**

[1] On 26 June 2023, the Securities and Exchange Commission approved the (i) decrease in Authorized Common B Shares by 33,426,498 and establishment of 33,426,498 Authorized Preferred Shares resulting to reclassification of 33,426,498 issued Common B Shares to Preferred Shares; and (ii) increase of the Corporation's authorized capital stock from P120,000,000.00 to P647,306,477.72.

FILSYN CORPORATION AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

FOR THE PERIOD ENDED SEPTEMBER 30, 2025 AND 2024
(P000)

		2025 (Unaudited)		2024 (Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES				
Net income (loss)	P	65,883	P	37,442
Adjustment for:				
Depreciation Expense				
Decrease (Increase) in:				
Prepayments and other current assets		(52,252)		(73,395)
Other assets		(3,001)		3,926
Increase (Decrease) in:				
Trade and other payables		104,947		41,781
Income tax payable		(162)		(45)
Net cash flows from operating activities		115,415		9,709
CASH FLOWS FROM INVESTING ACTIVITY				
Acquisition of property, plant and equipment		–		–
		–		–
CASH FLOWS FROM FINANCING ACTIVITY				
Payment of Loans from Bank		(47,773)		
Proceeds from loan from bank		–		–
Proceeds from deposit for future stock subscriptions		–		–
		(47,773)		–
EFFECT OF EXCHANGE RATE CHANGES		173,139		12,910
NET INCREASE IN CASH		240,781		22,619
CASH AT BEGINNING OF THE PERIOD		42,363		38,264
CASH AT END OF THE PERIOD	P	283,144	P	60,883

FILSYN CORPORATION
NOTES TO INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED SEPTEMBER 30, 2025

CORPORATE INFORMATION

FILSYN Corporation (the "Corporation") was incorporated and registered with the Philippine Securities and Exchange Commission ("SEC") on July 22, 1968 and is domiciled in the Republic of the Philippines. The Corporation's shares are publicly listed with the Philippine Stock Exchange ("PSE") but trading of which have been suspended. The Corporation's primary purpose is to carry on the business of making, manufacturing, preparing, dyeing, processing, treating, finishing, and converting all kinds of fibers, filaments, and materials, whether polyester, nylon, acrylic, rayon, cotton, wool, silk, hemp, flex and jute, and to make, manufacture, produce, raise, prepare, process, purchase, or otherwise acquire, and to hold, own, use, sell at wholesale, import, export, dispose of or otherwise trade or deal in with, such fibers, filaments and materials, any and all kinds of yarns, threads, textiles, fabrics, cloth, and other goods and components spun, woven, knit or made in whole or in part of such fibers, filaments, or materials, or any of them, and all other articles, products, chemicals and substances related thereto or of a like or similar nature or which may enter into manufacture of any of the foregoing or which may be used in connection therewith.

On 28 October 2016, the SEC approved the Amended Articles of Incorporation of the Corporation amending the Fourth Article by extending its corporate term for fifty (50) years from and after July 22, 1968 or up to July 21, 2068.

The registered office address of the Corporation is Unit 8, 5B The Pearlbank Centre, 146 Valero St., Salcedo Village, Makati City.

The consolidated financial statements include the following subsidiaries of the Corporation which are all incorporated in the Philippines.

Subsidiaries	Nature of Business
FYN Green PET Corporation	Manufacturing
Island King Aquaventures Corporation	Leasing
SRTC Development Corporation	Under liquidation

IKAC was registered with the Philippine SEC on September 15, 1986 primarily to engage in the business of aquaculture and undertake any and all related activities necessary, incidental and related thereto. The registered office address of the company is Unit 8, 5B The Pearlbank Centre, 146 Valero St., Salcedo Village, Makati City.

SRTC was registered with the Philippine SEC on April 30, 1992 primarily to acquire by purchase, lease, donation or otherwise, and to own, use, improve, develop, subdivide, sell, mortgage, exchange, lease and hold for investment or otherwise, real estate of all kinds, and to improve, manage or otherwise dispose of buildings, houses, apartments and other structures of whatever kind, together with their appurtenances. The registered office address of the company is Unit 8, 5B Floor, Pearl Bank Centre, 146 Valero St., Salcedo Village, Makati City.

FYN Green was registered with the Philippine SEC on June 6, 2019 primarily in recycling of waste Polyethylene Terephthalate (PET) bottles into resin to be used as feedstock for manufacture of Filament and Food Grade Chip. The registered office address of the company is First Cavite Industrial Estate, Lot 2, Block 1, Phase 2, Langkaan II, Dasmarinas City, Cavite.

The foregoing companies are collectively referred to as the "Group".

BASIS OF PREPARATIONS AND STATEMENT OF COMPLIANCE

Basis of Preparation

The accompanying interim financial statements as of September 30, 2025 have been prepared under the historical cost basis. These statements are presented in Philippine peso which is the company's functional and presentation currency under the Philippine Financial Reporting Standard (PFRS). All values are in (P000).

Statement of Compliance

- The accompanying interim financial statements are presented in compliance with PFRS.
- The accounting policies and methods adopted in said interim financial statements are the same as those in the annual financial statements for the year ended December 31, 2024.
- The adoption of PAS 34 in the interim financial statements did not have any material impact on the financial position or performance of the Corporation.
- That the Corporation is still not in commercial operation.
- There were no transactions unusual in nature, size or incidents during the period that will have a material effect in the interim financial statements.
- There were no issuances, repurchases, and repayment of debts and equity securities.
- There were no dividends declared/paid during the period.
- There were no material events subsequent to the end of the interim period that have not been reflected in the financial statements for the interim period.
- There were no changes in the composition of the issuer during the interim period.
- There were no changes in contingent liabilities and contingent assets since December 31, 2024.
- There were no material contingencies and any other credits or transactions existing that will materially affect the interim financial statements for the period ended September 30, 2025.
- The main sources of funds consist mainly of warehouse rental income.

MANAGEMENT DISCUSSION & ANALYSIS OF OPERATION

Filsyn Corporation (the "Corporation") continued to generate income mainly derived from leasing warehouses and commercial spaces which is sufficient to cover all expenses. Hence, there is no need for any outside financing to sustain its operations.

The Corporation's losses for the last three (3) years are due to non-commercial operations. The Corporation has no plan yet to resume commercial operations. In view of the non-commercial operation of the Corporation for the last three (3) years, there were no material key variable and other qualitative and quantitative factors nor performance indicators nor any major risks to consider.

There can be no comparable discussions to assess material changes during the last three (3) years becauseof the non-commercial operations of the Corporation.

There were no events during the last three (3) years that will trigger direct or contingent financial obligation that was material to the Corporation. There were for the last three (3) yeas no material, off-balance sheet, transactions, arrangements, obligations (including contingent obligations) nor any other relationships with unconsolidated entities or other persons. There were no material commitments for capital expenditures.

The Corporation can satisfy its cash requirement for the next 12 months. The Company will not raise additional funds in the next 12 months.

The Corporation has no product research and developments for the term of the plan.

The Corporation will not purchase any plant or equipment within the next 12 months.

The Corporation does not expect any significant changes in the number of employees.There are no seasonal aspects that have material effect to the financial statements.

On December 10, 2009, the Board of Directors of the Corporation approved to offer the property in Sta. Rosa, Laguna as dacion in payment of the entire obligation to Chinatrust, and in case of the latter's acceptance, to offer to manage the property in trust, in consideration of management fees and trustee fees, until such time as maybe agreed by the parties.

On November 2, 2010, Chinatrust accepted the proposal of the Corporation to fully settle its outstandingloan obligation amounting to P1.2 billion through the Sta. Rosa property as dacion in payment. Chinatrust agreed that the Corporation shall not be liable for any deficiency between the amount of the outstanding loan obligation and the value of the Sta. Rosa property. The "Dacion En Pago" did not materialize and the ownership of the loan was transferred to Chuan YuanLimited, a company incorporated in Cayman Islands. Chuang Yuan Limited became the creditor of the first and second MTI. Chuang Yuan Limited later transferred the loan to Malaysia Garment Manufacturers (Pte) Ltd. , a company incorporated in Singapore, a related party.

On October 24, 2016, the PSE issued a letter to the Corporation on the subject: Negative Stockholders' Equity and SEC Order of Revocation requesting for update on the following items:

- Settlement of outstanding loan obligations amounting to P1.2 Billion through the Sta. Rosaproperty as dacion;
- Discussions/negotiations with real estate companies for potential joint venture arrangementover the property to develop the 30 hectares property located at Sta. Rosa, Laguna;
- Discussions/negotiations regarding the sale of the property located in Gen. Malvar Alvarez, Cavite City; and
- SEC Order of Revocation dated August 26, 2002.

On December 12, 2016, the Corporation responded to the PSE that discussions are ongoing on the first three items above with the appropriate parties. Management believes that the development of the land in Sta. Rosa Laguna will increase its value and bring the Corporation's equity from negative to positive.

In September 2017, the Board of Directors and stockholders of the Corporation approved a business plan, which consists of the following phases:

- Financial restructuring subject to Philippine SEC approval;
- Development of the Sta. Rosa property; and
- A new business activity of recycling Polyethylene Terephthalate (PET) to be registered with the Philippine Economic Zone Authority

In relation to the financial restructuring, in September 2018, the Board of Directors approved the following:

A. Amendment of the Seventh Article of the Corporation's Articles of Incorporation ("AOI") to reflect the following:
   i. Reduction of par value from P5.00 per share to P2.50 per share
   ii. Creation of Preferred Shares with the following features:
   - Pre-Emptive Right – Right to subscribe to the same proportion of shares in case of issuance of new shares
   - Preference in Distribution of Dividends – Right to receive fixed dividends (5% of total debt converted), cumulative dividends and right to receive profit-participating stocks
   - Veto Right – Right to veto the development of Sta. Rosa property such that the development project of said land must be approved by Preferred shareholders
   - Exercise of voting right – The Preferred shareholders shall not have a right to vote, except on matter specific in Section Six of the Corporation Code of the Philippines and those relative to the development of Sta. Rosa Property and
   - Convertible to Common Shares – Right to convert preferred shares to common shares using 16.78:1 conversion ratio at P2.50 per share

   iii. Reclassification of 33,426,498 Common Shares (Class B) to Preferred Shares

B. Conversion of debt to equity

On February 18, 2018, the SEC Commission en Banc resolved to lift the Order of Revocation. The lifting of the Order of the Revocation directed the Corporation to amend its Registration Statement to reflect any prior changes prior to restatement of its registration statement and permit to sell securities.

On September 20, 2018, the Board formally authorized the filing of the Amended Registration Statement with the SEC which was filed on October 30, 2018.

On July 23, 2019, the Corporation filed its application for amendment of AOI with the SEC. On September 25, 2019, The SEC provided their initial comments on the application for amendment of AOI.

On November 11, 2021, the Board approved the further amendments in the Seventh Article of the AOI which revoked and superseded September 21, 2018 resolutions approving the amendments to the Seventh Article of the AOI. The BOD approved the following:

1. Decrease in Authorized Capital Stock and Reclassification or Conversion of 33,426,498 Class B Shares into 33,4266,498 Preferred Shares

   This include the following approvals of the Board:

   a. Reduction in the par value of all common shares from P5.00 per share to P0.50 per share,
   b. Decrease in the authorized capital stock from P1,200,000,000 to P120,000,000,
   c. Classification of capital contributed in excess of the reduced par value as additional paid in capital, and
   d. Reclassification of the 33,426,498 Class B common shares held by Malaysia Garment Manufacturers (Pte) Ltd., a company incorporated in Singapore and a related party, into 33,426,498 Preferred Shares with the following features:
      i. Preemptive Right – The Preferred Shareholders shall have preemptive rights to subscribe to new shares in proportion to their respective shareholding ratios
      ii. Dividends – The Preferred Shareholders shall bear preferential dividends at the rate of 5% per annum of total debt converted in the amount of P1,389,961,828.
      iii. Exercise of Voting Right – The Preferred Shareholders shall not have a right to vote, except on matters specified in Section 6 of the Revised Corporation Code of the Philippines and those relative to the development of the Sta. Rosa Property; and
      iv. Convertibility – The Preferred Shareholders shall, at their option, have the right to convert their preferred shares to common shares using 16.78:1 conversion ratio at P0.50 per share.

2. Increase in Capital Stock

   The Board approved the increase of the Corporation's authorized capital stock from P120,000,000 to P647,306,477 which consists of:

   a. 440,229,812 Class "A" common shares with par value of P0.50 per share, or an aggregate par value of P220,114,906;
   b. 293,486,507 Class "B" common shares with a par value of P0.50 per share, or an aggregate par value of P146,743,253.50; and
   c. 33,426,498 Preferred Shares, with a par value of P8.39 per share (increased from P0.50), or an aggregate par value of P280,448,318, with Malaysian Garments subscribing to the increase in the par value of the 33,426,498 Preferred Shares amounting to P263,735,069 by way of converting debt owed to it by the Corporation as of December 31, 2020 amounting to P1,389,961,828 to equity, with the excess of the debt over the par value of preferred shares recorded as Additional Paid In Capital

The BOD also approved the subscription by Malaysian Garments to the increase in the par value of the 33,426,498 Preferred Shares, and the conversion of debt owed to it by the Corporation as of December 31, 2020 amounting to P1,389,961,828 to equity as payment for the aforesaid 33,426,498 Preferred Shares with the excess of the debt over the par value of preferred shares recorded as Additional Paid In Capital.

3. Use of Additional Paid in Capital to Wipe Out Deficit

The Board approved the use of the Additional Paid In Capital resulting from: (a) the existing Additional Paid in Capital; (b) the decrease of capital through the reduction of par value; and (c) the conversion of the existing liability to Malaysian Garments to wipe out all the accumulated deficit of the Corporation.

On November 11, 2021, Management filed the financial restructuring project to SEC. Prior to submission of the financial restructuring project with the SEC, Management had already agreed to the conversion of debt with its creditors and legal counsel. Management is securing all the necessary documents such as Deed of Assignment to creditor and Director's Certificate to support the approval of the financial restructuring by the SEC.

On May 30, 2022, a Deed of Assignment of the loan was entered between Malaysia Garment Manufacturers (Pte) Ltd. and the Corporation in which the former unconditionally and irrevocably assigns, cedes, transfers and conveys unto the Corporation all of its title, right and interests to receive the payment for the debt as payment for the subscription price, thereby converting the debt into equity. In addition, the related parties, Malaysia Garment Manufacturers (Pte) Ltd. and Trans-Pacific Oriental Holding Company, Inc., have undertaken to support the Corporation financially by not demanding payment of loans due to the former. Further, the Corporation will address its working capital requirements from the cash flows generated from its operations. Accordingly, the financial statements have been prepared on a going concern basis.

On March 29, 2023, Management completed all the aforementioned documents required by the SEC.

On April 4, 2023, the Corporation was notified by the SEC that it is ready to issue its assessment on the planned restructuring project upon issuance of the SEC-Markets and Securities Regulation Department (MSRD) clearance, subject to the submission of remaining requested document. Thereafter, a Payment Request Form will then be issued to the Corporation, which will signify acceptance by the SEC of the application to proceed with filing.

On June 26, 2023, the SEC approved simultaneously the Corporation's amendments to the Articles of Incorporation, decrease/ increase in authorized capital stock and equity restructuring. With the SEC approval, the Corporation can now focus on the operations and expansion of its subsidiary, FYN Green PET Corporation (FYGP), and the development of its 30 - hectare property located in Sta. Rosa City, Laguna.

On June 19, 2024, the Corporation received an Order from the SEC lifting the Order of Revocation of the Effectivity of the Corporation's Registration of Securities and Permit to Sell Securities to the Public issued by the SEC on August 26, 2002.

Notice of Involuntary Delisting

On February 3, 2023, the Corporation received a Notice of Involuntary Delisting from the Philippine Stock Exchange (PSE).

On April 3, 2023, representatives of the Corporation participated in a hearing conducted by the Exchange relating to the involuntary delisting proceedings involving the Corporation. The Corporation then requested the PSE that the involuntary delisting proceedings be suspended; and it be allowed to complete the requirements for its amended registration statement and application for the financial restructuring plan with the Securities and Exchange Commission until the end of 2023.

The grounds for the initiation of involuntary delisting proceedings involving Corporation are due to the (a) revocation of its registration of securities and permit to sell securities; and (b) negative stockholders' equity.

In the said hearing, the Corporation raised the following arguments:

a. There was no obstinate refusal on the part of the Corporation to comply with the directives of the Exchange and the Securities and Exchange Commission ("SEC").
b. The Corporation, in utmost good faith, exerted serious efforts to comply with the SEC directives. All the corporate actions of Corporation on the matter were timely and promptly disclosed to the PSE.
c. The SEC-Markets and Securities Regulation Department ("MSRD") will only act on the Corporation's amended registration statement after the approval of the Corporation's financial restructuring plan being reviewed by the SEC- Financial Analysis and Audit Division ("FAAD").
d. The Corporation will file its amended registration statement after it secures the SEC's approval of its financial restructuring plan. Thereafter, the Corporation will request SEC-MSRD to issue the corresponding Order Lifting the Order of Revocation dated August 26, 2002 against the Corporation.
e. The conversion of the Corporation's obligation to one of its major creditors, Malaysia Garment Manufacturers Pte. Ltd, amounting to One Billion Three Hundred Eighty-Nine Million Nine Hundred Sixty-One Thousand Eight Hundred Twenty-Eight Pesos (P1,389,961,828.00) into equity has effectively wiped-out the deficit amounting to Six Hundred Eighty-Nine Million Thirty-One Thousand One Hundred Forty-Six Pesos (P689,031,146.00). The debt-to-equity conversion is part of the financial restructuring plan being carried out by the Corporation. The deficit would have been wiped-out had the SEC-FAAD approved the Corporation's financial restructuring plan.
f. The involuntary delisting will be prejudicial to the Corporation's stockholders who have been expecting that the trading suspension will be lifted soon and the financial restructuring plan approved in light of the actions being actively undertaken by the Corporation.
g. In 2019, parallel to its efforts to solve its capital deficiency, the Corporation incorporated FYN Green PET Corporation ("FYGP"), a 100% wholly owned subsidiary, to provide cash flow and steady stream of revenues. FYGP will commence its commercial operations in May 2023.

The Corporation therefore requested the PSE that the involuntary delisting proceedings be suspended; and it be allowed to complete the requirements for its amended registration statement and application for the financial restructuring plan with the Securities and Exchange Commission until the end of 2023.

On May 2, 2023, the Corporation received the PSE's Letter-Decision dated April 28, 2023 granting the Corporation's request to:

a. Suspend the involuntary delisting against the Corporation; and

b. Allow the Corporation until December 29, 2023 to complete the requirements of the SEC to amend its registration statement and its application for its financial restructuring plan, thereby obtaining (a) an effective registration of securities and permit to sell securities with the SEC and (b) attaining a positive stockholders' equity.

The Corporation requested for an extension from the PSE for its December 29, 2023 deadline to complete the SEC requirements relating to the Corporation's application for the approval of its Amended Registration Statement.

The PSE, in its Letter dated January 31, 2024, granted the Corporation's request for a six (6)-month non-extendible extension or until June 26, 2024 to complete the requirements of the SEC and obtain an effective registration of securities and permit to sell securities with the SEC; and (ii) to maintain the suspension of the involuntary delisting proceedings against the Corporation until the issuance of SEC's decision on the Corporation's application for the approval of its Amended Registration Statement or until June 26, 2024 whichever is earlier.

The Corporation received a Notice from the PSE dated December 4, 2024, announcing the lift of the trading suspension effective December 6, 2024. Considering that the trading of the Corporation's shares was suspended since September 25, 2002, the static threshold for the Corporation will be lifted upon the resumption of the Corporation's shares.

Final Assessment Notice from Bureau of Internal Revenue (BIR)

On September 26, 2024, Management of the Corporation notified its BOD that it had received from the BIR a Final Assessment Notice / Formal Letter of Demand (FAN/FLD) dated September 17, 2024 for calendar year 2022 on September 22, 2024.

The BIR assessed deficiency taxes, interests, surcharges, and penalties ("Tax Deficiencies") against the Corporation in the total amount of PhP280.4 million , broken down as follows:

1. Final Withholding Tax (FWT) – PhP 179.4 million
2. Final Withholding Value Added Tax (FWVAT) – PhP 86.0 million
3. Documentary Stamp Tax (DST) PhP 15.9 million
4. Compromise Penalties – PhP 0.1 million

As background, to wipe out the Corporation's deficit, the Corporation restructured its capital accounts and converted its liabilities into equity (Equity Restructuring). Particularly, the Corporation increased its authorized capital stock from PhP120.0 million to PhP647.3 million. Pursuant to the increase in the Corporation's authorized capital stock, Malaysia Garment Manufacturer's Pte. Ltd. (MG) subscribed to 33,426,498 preferred shares of stock in exchange for the conversion of the Corporation's outstanding loan (principal and interest) amounting to PhP 1,419.3 million (Subject Loan) to equity as payment for the subscription, with the excess recorded as Additional Paid in Capital (APIC) to wipe out the Corporation's accumulated deficit (Debt-to-Equity Conversion).

The BIR alleges that the Deed of Assignment for the Debt-to-Equity Conversion resulted in a constructive receipt of income on the part of MG, which should be subject to final withholding tax.

The Corporation's legal counsel, filed the Corporation's Protest with Request for Reconsideration and/or Reinvestigation with the BIR Revenue Region 8A on October 28, 2024 (Protest).

In its Protest, the Corporation argues that the assignment of the Subject Loan in exchange for shares is part of the Debt to Equity Conversion - a capital transaction outside the ordinary course of business that does not result in taxable income, VAT, or DST for the Corporation or MG.

On the same date that legal counsel filed the Corporation's Protest, the Corporation's tax advisor also submitted a letter to the BIR to signify its alignment and conformity to the factual and legal arguments of the Protest filed by the Corporation through its legal counsel.

The Protest also included the Corporation's request for reinvestigation and to submit additional documents in support of the reinvestigation of the findings of the BIR.

On November 11, 2024, the Corporation received the BIR's letter granting the Corporation's request for reinvestigation. The reinvestigation will require the BIR to reassess its initial findings on the Corporation's Tax Deficiencies and re-examine the strong legal position of the Parent

The Corporation's legal counsel and tax advisor on the matter. The Corporation has 60 days from the date of filing of its Protest, or until December 27, 2024, within which to submit additional documents in support of the reinvestigation.

On December 27, 2024, the Corporation submitted all its relevant supporting documents in support of its Protest.

On February 6, 2025, the Corporation received the Final Decision on Disputed Assessments (FDDA) from the BIR denying the Corporation's Protest.

Under the Court of Tax Appeals (CTA) Rules, Section 228 of the Tax Code, relevant BIR issuances, prevailing jurisprudence, a petitioner may appeal the denial of its protest to the CTA within thirty (30) days from the receipt of the said denial, or in the Corporation's case until March 8, 2025.

On March 7, 2025, the Corporation filed its Petition for Review with the CTA.

As of September 30, 2025, the BIR Final Tax Assessment Notice is still pending with the CTA.

The Corporation is of the position that the Equity Restructuring and Deed of Assignment are separate events, and both are not subject to income tax, VAT, and DST.

The Corporation, through its legal counsel, is taking the appropriate legal steps to assail the assessment on the grounds of lack of factual and legal basis.

Subsidiaries

Beginning 2012, IKAC ceased its normal operations as a producer of prawns and bangus and started renting out its investment property. The AOI of IKAC states that IKAC may purchase or lease, or otherwise, lands and interest in lands and building; own, hold, improve, develop and manage any real estate so acquired and erect or cause to be erected buildings or other structures with their appurtenances on any lands owned, held or occupied by the corporation; rebuild, enlarge, alter or improve any buildings or other structures now or hereafter erected on any lands so owned, held or occupied; mortgage, sell, lease, or otherwise dispose in any stores, shops, suites, rooms or part of any buildings, or other structures, at any time owned or held by the corporation as one of its secondary purposes.

SRTC never commenced commercial operations. In April 2000, SRTC sold its primary asset, a 40 hectare property in Sta. Rosa, Laguna, to Greenfield Development Corporation. SRTC used the proceeds of the said sale to settle its bank loans, pay substantially all its other liabilities and distribute advance liquidating dividends. On September 25, 2014, the stockholders approved the amendment of SRTC's AOI to shorten its life until December 31, 2014. Final liquidation will take place after approval of SRTC's liquidation application with the Philippine SEC. As at April 28, 2023, SRTC is in the process of accomplishing requirements needed for the cancellation of its registration with Bureau of Internal Revenue and Philippine SEC.

On June 6, 2019 and May 21, 2020, FYGP was registered with the SEC and PEZA as Ecozone Enterprise, respectively.

In 2020, FYGP acquired land and building to be used in its future operations. On March 14, 2023, FYGP submitted to PEZA its Certification for the Start of Commercial Operations (SCO) which was approved on May 5, 2023. FYGP started commercial operations on May 5, 2023.

<signature follows>

SIGNATURES

Pursuant to the requirement of Section 17 of the SRC Code and Section 141 of the Corporation Code, this report is signed on behalf of the issuer by the undersigned, thereunto duly authorized, in the City of Makati City on NOV 1 2 2025.

APOLINARIO L. POSIO
Executive Vice President / Chief Financial Officer

MAKATI CITY

SUBSCRIBED AND SWORN to before me this NOV 1 2 2025 affiant exhibiting to me his Government Issued ID, as follows;

Name	ID	Date Issued	Expiry Date
Apolinario L. Posio	Passport ID No. P3043199C	Jan. 25, 2023	Jan. 24, 2033

ATTY. GERVACIO B. ORTIZ JR.
Notary Public City of Makati
Until December 31, 2026
IBP No.556155 Lifetime Member
MCLE Compliance No. VIII-0040999
Appointment No. M-007(2025-2026)
PTR No.10456005 Jan. 2, 2025
Makati City Roll No. 40091
101 Urban Ave. Campos Rueda Bldg.
Brgy.Pio Del Pilar, Makati City

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